City of Westminster

FULL COUNCIL REPORT

Date:	**4 March 2026**
Classification:	**For General Release**
Title:	**Report of the Cabinet Meeting held on Monday 23 February 2026**
Report Of:	**Cabinet**

Present: Councillors Adam Hug (Chair), Nafsika Butler-Thalassis, Aicha Less, Concia Albert, Geoff Barraclough, Liza Begum, David Boothroyd, Sara Hassan, Ellie Ormsby, Max Sullivan

1. Business and Financial Planning 2026/27 to 2028/2029

(a) This report brought together the Council's business and financial planning and looks forward over the next three years to set out how it will support the Council's objectives under the Fairer Westminster strategy, supported by a medium-term financial plan and balanced budget for 2026/27.

(b) This report outlines a balanced budget for 2026/27 that includes a proposed 2% increase in council tax and a one-off use of reserves of £19.7m. The medium-term financial plan forecasts an ongoing budget gap of £87.8m by the third year. Central government funding for 2026/27 is confirmed and indicative grant figures are provided through the multi-year settlement for 2027/28 and 2028/29.

(c) The proposed 2026/27 revenue budget assumes a freeze in the general council tax element and a 2% increase for the adult's social care precept element. At Band D this will result in an annual increase of £10.54 or an equivalent weekly amount of 20p per week. When combined, the general element of council tax and adults social care precept, for Westminster, will rise from £526.80 to £537.34 at Band D.

(d) The proposed budget reflects the significant reduction in grant funding that the Council will be impacted by through the changes that have been made as part of the Fair Funding Review. The reductions are phased over the next three years, with £75.6m of annual funding coming out by the third year. Floor protection funding of £24.9m remains in the third year.

(e) In light of the major changes to grant funding the Council has scoped out a whole council transformation programme which will ensure the organisation can maintain services and deliver them while remaining modern, people-centred and financially resilient. This programme requires investment in the short term but can deliver substantial efficiencies and a minimum forecast of £30m is included.

(f) The recommended net General Fund budget for 2026/27 is £282.666m, this is a net decrease of £11.4m on the 2025/26 adjusted net budget. The budget changes include costs pressures and investments totalling £56.4m including; further Fairer Westminster investments of £2.1m, additional resources for temporary accommodation and Adults Social Care pressures of £9.3m, other service cost pressures including inflation of £27.6m, increased capital financing costs of £3.5m, decreased interest earnings of £6m, transformation investment of £2.5m and other changes of £5.3m.

(g) Savings and cost reductions totalling £54.5m including new savings of £27.8m, transformation savings of £3m, previously agreed savings proposals of £12.7m, reduced employer pension contributions of £8m and council tax collection fund surplus of £3m. Fair Funding grant reductions including HPG grant loss totalling £26.4m. The balance is then funded from increased council tax income including second homes premium of £8.6m and £19.7m from reserves and balances.

Cabinet recommends to Full Council:

Council Tax

1) That the Council Tax for a Band D be agreed at £537.34 for 2026/27.

2) That subject to the consideration of the previous recommendation, the council tax for the City of Westminster, excluding the Montpelier Square area and Queen's Park Community Council, for the year ending 31 March 2027, be as specified in the Council Tax Resolution in Appendix 1.

3) That the Precepts and Special Expenses be as also specified in Appendix 1 for properties in Montpelier Square and the Queen's Park Community Council.

4) That the formal resolution for 2026/27 attached at Appendix 1 including the council tax requirement of £83.214m be agreed.

5) Note the proposed Greater London Authority precept (Band D) of £510.51, an increase of £20.13 (4.1%) in the adjusted Band D precept

6) That the Council continues the Westminster Community Contribution scheme to allow residents in the City to voluntarily contribute towards supporting discretionary services that support the four priorities helping young people reach their full potential, including staying safe, contributing positively to their community and developing longer term skills; providing extra support for

people who find themselves sleeping on Westminster's street; tackling social isolation and loneliness and promoting social inclusion.

Revenue Budget

7) To note the views of the Scrutiny Budget Task Group set out in Appendix 2.

8) That the proposed General Fund net budget requirement of £282.666m summarised in Appendix 3 is approved.

9) That £9.84m of the general fund balance and £9.84m of earmarked reserves are used to partially fund the budget in 2026/27.

10) That the savings, pressures and investments for 2026/2027 to 2028/29 set out in Appendix 4, 5 and 6, are approved.

11) That the Equality Impact Assessments included in Appendix 7 are noted to inform the consideration of the budget.

12) Note the Housing Revenue Account (HRA) Business Plan 2026/27 and 30-Year Housing Investment Plan presented concurrently to Cabinet on 23 February 2026 that recommends the HRA budget and rent levels for 2026/27.

13) Note the Dedicated Schools Grant (DSG) allocations totalling £210.162m and agree that the schools block of £139.144m is allocated to schools using the local formula agreed by Westminster Schools Forum which reflects the majority of the National Funding Formula factor values, with the pupil led funding being higher to reflect the overall Schools Block allocation and meets DfE requirements.

14) That the Executive Director of Finance and Resources be delegated responsibility for any technical adjustments required to be made to the budget.

15) That the cost of inflation, pressures and contingencies be issued to service budgets if the need materialises, to the limits contained within the budget calculations.

16) That the views of consultees and consultation approach, as set out in the relevant section be considered by Council.

Capital Programme

17) Note the Capital Strategy 2026/27 to 2030/31, forecast position for 2025/26 and future years' forecasts summarised up to 2039/40 that sets out the Council's capital programme and financing summarised in this report and set out in details in a concurrent report on this agenda.

Reserves, Balances and Budget Estimates

18) Agree the reserves policy as set out in section 12, of the Section 151 officer's report.

19) Note the opinion of the Section 151 Officer with regards to the robustness of the budget process, the estimates underpinning the budget and the adequacy of the reserves as set out in Appendix 8 as required by S25 of the Local Government Act 2003.

Treasury Management and Investment Framework

20) Note the Treasury Management Strategy for 2026/27 including the annual investment strategy, borrowing limits and prudential indicators summarised in this report and set out detail in a concurrent report on this agenda

21) Note the 2026/27 Integrated Investment Framework report also concurrently on this agenda, which sets out the policies and framework for future investment decisions for the Council.

2. Capital Strategy 2026/27 to 2030/31, Forecast Position for 2025/26 and Future Years Forecast to 2039/40

(a) The report set out the Council's five-year capital strategy from 2026/27 to 2030/31 and summarises the position up to 2039/40.

(b) The general fund capital programme (as detailed in Appendix A) proposes a gross budget of £2.550bn and a net budget of £1.275bn (after taking into account income from grants and capital receipts). The capital programme of the Housing Revenue Account (HRA) is set out separately in the HRA Business Plan which accompanies this report as part of the Council's annual budget setting process.

(c) The long-term capital investment plan is underpinned by the Council's Fairer Westminster policy objectives. Capital proposals are considered within the Council's overall medium to long-term priorities, and the preparation of the capital programme is an integral part of the financial planning process. This includes taking account of the revenue implications of the projects as part of the revenue budget setting process.

(d) The overall capital programme this year has increased with significant additional proposed investment in areas such as temporary accommodation acquisitions, this is offset by significant revenue savings in the future. The Council continues to set aside additional revenue funding each year to cover the financing costs of the programme, this is reflected in the proposed revenue budget. Earmarked reserves are also maintained to support the financing of the capital programme and provide a sustainable approach to funding through the Medium-Term Financial Plan.

Cabinet recommends to Full Council:

1) Approve the capital strategy as set out in the report.

2) Approve the capital expenditure for the General Fund as set out in Appendix A for 2025/26 to 2030/31 and future years to 2039/40.

3) Agree that all development and investment projects, along with all significant projects, follow the previously approved business case governance process as set out in Appendix B of the report.

4) Approve that no financing sources, unless stipulated in regulations or necessary agreements, are ring fenced.

5) Approve the proposed financing of the capital programme and revenue implications as set out in the report.

6) Delegate authority to the Executive Director of Finance and Resources the decisions surrounding financing of the capital programme within the expenditure limits to provide sufficient flexibility to allow for the most effective use of the Council's resources.

3. Integrated Investment Framework 2026/27

(a) The report is required to bring together and manage the Council's strategic objectives in relation to investment activity to ensure the proportionality of all investments so that the Council does not undertake a level of investing which exposes it to an excessive level of risk compared to its financial resources.

(b) The table below sets out the Council's investment portfolio as at 31 December 2025.

Type of Investment	Value at 31 December 2025 £ million
Short term investments (fixed term deposits, money market funds)	600.30
Long term investments in cash-based investments, shareholdings and controlled companies	24.89
Property Fund Partnership (Real Lettings Fund valued at 30 September 2025)	28.75
Investment properties	598.94
Pension Fund	2,298.44
Total	**3,551.30**

(c) The Treasury investment portfolio is currently generating a return of 4.13% compared to a bank base rate of 3.75% (at portfolio date 31 December 2025)

in the current financial year 2025/26. The investment properties are currently generating around 5.02%, net of direct costs (based on the final accounts for 2024/25). The latest current CPI inflation rate of 3.4% (as at December 2025) must be considered alongside the current total portfolio yield.

(d) The Investment Framework sets out the Council's strategic objectives in respect of risk management, and its attitude towards investment risk; current levels of investment activity; an updated Integrated Investment Framework for the Council that seeks to diversify risk and future proof the Council against possible future economic downturns; and actions to be taken in connection with implementing this framework.

Cabinet recommends to Full Council:

1) Approve and implement the Integrated Investment Framework set out in the report at Appendix 3.

2) Approve that the target for the overall return on Council investments should aspire to at least meet forecasts for CPI inflation over the medium term.

3) Approve Pension Fund investments should be used as a benchmark when evaluating other investments.

4) Adopt the asset allocation percentage ranges set out in the framework and work towards achieving these.

5) Agree that the overarching objective of this framework is to achieve an overall CPI related return on Council investments and to reduce costs and liabilities, while maintaining adequate cash balances for operational purposes, and not exposing the capital value of investments to unnecessary risk.

6) Agree that assets that offer good value for money or an attractive IRR with strategic value can be acquired, as long as they are not investment assets bought primarily for yield. Out-of-borough acquisitions may also be considered by exception.

7) Agree that the Investment Executive will implement, monitor and report on the investment strategy

4. Treasury Management Strategy Statement for 2026/27 to 2030/31

(a) The Local Government Act 2003 ("the Act") and the Regulations made under the Act require the Council to have regard to the Prudential Code for Capital Finance in Local Authorities and to set Prudential Indicators for the next three years to ensure that the Council's capital investment plans are affordable, prudent and sustainable. These are contained within the report we considered and attached at Appendix 4.

(b) The Act also requires the Council to set out a statement of its treasury management strategy for borrowing and to prepare an Annual Investment Strategy (as shown in Appendix 1). This sets out the Council's policies for managing its investments and for giving priority to the security and liquidity of those investments. The Treasury Management Strategy Statement (TMSS) and Annual Investment Strategy (AIS) must both have regard to guidance issued by the Ministry for Housing, Communities and Local Government (MHCLG) and must be agreed by Full Council.

(c) CIPFA published the revised Treasury Management Code and Prudential Code on 20 December 2021 and has stated that revisions need to be included in the reporting framework from the 2023/24 financial year. The Authority, therefore, must have regard to these Codes of Practice when it prepares the TMSS) and AIS, and related reports during the financial year.

(d) The report set out the Council's proposed TMSS for the period 2026/27 to 2030/31, and AIS for the year ended 31 March 2027, together with supporting information.

(e) The TMSS and AIS form part of the Council's overall budget setting and financial framework.

Cabinet recommends to Full Council:

1) Approve the Treasury Management Strategy Statement.

2) Approve the borrowing strategy and borrowing limits for 2026/27 to 2030/31 as set out in section 6 of the Section 151 officer's report.

3) Approve the Prudential Indicators as set out in section 8 of the Section 151 officer's report.

4) Approve the Annual Investment Strategy (AIS) and approved investments as set out in Appendix 1 of the Section 151 officer's report.

5) Approve the Minimum Revenue Provision Policy set out in Appendix 2 of the Section 151 officer's report.

6) Delegate authority to the Executive Director of Finance and Resources as outlined in Appendix 3 of the Section 151 officer's report.

5. Housing Revenue Account Business Plan

(a) This report presented the updated 30-year Housing Revenue Account (HRA) Business Plan which the Council is required to prepare on an annual basis. It provided an overview of the financial planning that supports the management of the 20,400 homes operated by the Council's HRA. This covers both

revenue and capital expenditure and therefore incorporates the extensive Housing Investment Plan.

(b) Despite an economic and legislative backdrop that continues to present the HRA with significant financial challenges, the Council has delivered a sustainable HRA Business Plan from 2026/27 onwards. In doing so, it has managed to safeguard all planned housing investment maintaining the Council's Fairer Westminster vision and the aim to deliver more social housing within Westminster.

(c) Housing is a significant pillar within this vision and the HRA Business Plan is therefore a critical enabler for Council in delivering key strategic outcomes. As well as maximising the delivery of social housing, the plan supports investment in several other important objectives, including improving the condition and safety of existing stock, investing in retrofit schemes for our homes and replacing the Pimlico District Heating Undertaking (PDHU) network.

(d) The report seeks approval for the HRA revenue budget for 2026/27. This includes approval for the proposed uplifts to both HRA rents and non-dwelling charges to take effect from 1st April 2026. The Council is proposing to take advantage of the 4.8% rent increase for 2026/27 (in line with the rents standard set by the national rent policy). The Council also intends to increase non-dwelling rents by 3.8% in line with CPI as per its wider fee & charges policy. It is aware of the pressure on household incomes and proposes to extend the Rent Support Fund to provide targeted support to tenants earmarking a further £1.000m for this purpose. Based on these proposals, the HRA will generate £159.3m across a range of income streams in 2026/27 (of which £105.9m, or 66%, comes from tenant rents). The 2026/27 expenditure budget is £159.2m.

(e) The report also seeks approval for the 5-year HRA capital programme which includes anticipated capital expenditure of £931.1m. The 30-year programme totals £2.5bn. Approximately 40% of the programme is funded from external sources (£1.1bn) with the remainder supported by the HRA itself. This includes a requirement to borrow an additional £860.3m over the next 15 years. The business plan ensures this is prudent by setting minimum reserve levels, applying a minimum interest cover ratio, and creating appropriate contingencies to manage risk.

Cabinet recommends to Full Council:

1) Approve the HRA revenue budget for 2026/27 (Table 1 and Appendix 3 of the Executive Director of Housing Services report).

2) Note the HRA 5-year revenue budgets for 2026/27 to 2030/31 (Appendix 3 of the report) and HRA 30-year revenue budgets for 2026/27 to 2055/56. (Appendix 4 of the report).

3) Approve the HRA 5-year Capital Programme totalling £931.1m (Table 4 of the report).

4) Note the 30-year Capital Programme for 2026/27 to 2055/56 totalling £2.5bn (Appendix 5 of the report).

5) Approve the inclusion of an ongoing provision of £1.0m for the HRA Rent Support Fund, to provide continued support to tenants experiencing financial difficulty.

6) Approve a rent increase of 4.8% from 1 April 2026 in line with the maximum increase for social rent set by the national rent policy, noting that the Council continues to exercise its discretion under the rent restructuring policy to set rents for re-lets (both new tenants and transfers) up to formula target rent.

7) Approve an increase of 3.8% to the fees and charges and non-dwelling rents association with garages, sheds and parking (in line with CPI at September 2025) from 1 April 2026.

8) Approve that tenant service charges be varied in line with estimated actual costs for 2026/27, from 1 April 2026.

9) Note the HRA reserves and balances for the 5-year Business Plan (Table 5).

6. Westminster City Council Pay Policy 2026/27

(a) Councils are required, under Section 40 of the Localism Act 2011, to produce Pay Policy Statements articulating the authority's policies towards a range of issues relating to the pay of its workforce, particularly its senior staff (or 'chief officers') and its lowest paid employees.

(b) A Pay Policy Statement must be prepared for each financial year, beginning with 2012/13, and must be approved by Full Council.

(c) The report appends the proposed Pay Policy Statement for 2026-27 for Council's approval. All pay data in the Pay Policy Statement uses the snapshot date as of 31 March 2025 unless stated otherwise.

Cabinet recommends to Full Council:

1) Approve the Westminster City Council Pay Policy Statement for 2026-27, attached as Appendix A to the report of the Executive Director of Finance and Resources.

Cllr Adam Hug, Leader of the Council
Background Papers - Minutes of Cabinet Meeting: 23 February 2026